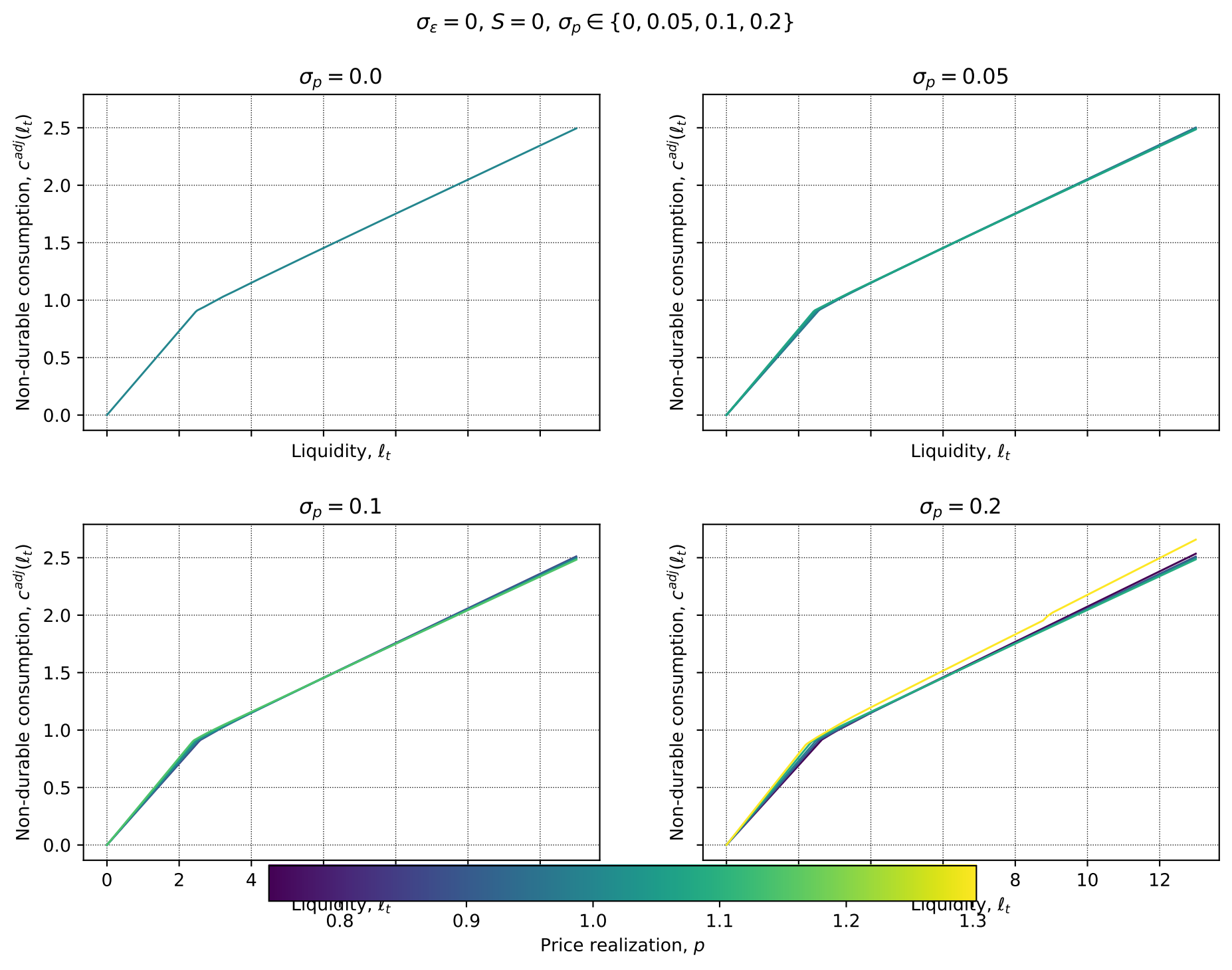
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p \in \{0, 0.05, 0.1, 0.2\}$
$\sigma_p = 0.0$
$\sigma_p = 0.05$
$\sigma_p = 0.1$
$\sigma_p = 0.2$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
2.5
0
2
4
8
10
12
0.8
0.9
1.0
1.1
1.2
1.3
Price realization, p